



United States  
Attorney's Office  
Eastern District of Washington



# Spokane Dermatologist Agrees to Pay \$1.4 Million to Resolve Claims of Fraudulently Obtaining COVID-19 Funds

Friday, May 30, 2025

## For Immediate Release

U.S. Attorney's Office, Eastern District of Washington

Spokane, Washington – The United States Attorney's Office announced William Philip Werschler, age 66, of Spokane, Washington, along with his businesses Spokane Dermatology Clinic, Premier Clinical Research L.L.C., and 3<sup>rd</sup> and Sherman Plaza L.L.C., have agreed to pay \$1,400,000 to resolve claims under the False Claims Act related to alleged mis-spending of funds intended to benefit struggling businesses during the COVID-19 pandemic.

On March 27, 2020, the President signed into law the Coronavirus Aid, Relief, and Economic Security (CARES) Act. The CARES Act provided a number of programs through which eligible small businesses could request and obtain relief funding intended to mitigate the economic impacts of the pandemic for small and local businesses. One such program, the Economic Injury Disaster Loan (EIDL) program, provided low interest loans that could be deferred until the conclusion of the pandemic to provide "bridge" funding for small businesses to maintain their operations during shutdowns and other economic circumstances caused by the pandemic. EIDL funds were to be used solely as working capital to alleviate economic injury to a business caused by the COVID-19 disaster, such as paying payroll, health insurance premiums, rent, utilities, and fixed debt payments. EIDL funds were not to be used for personal purposes or to obtain real property or to refinance indebtedness which was incurred prior to the disaster event is a prohibited use of EIDL funding.

According to the settlement agreement, beginning no later than April 2020 and continuing until at least July 2022, Werschler applied for EIDL loans for his businesses: Spokane Dermatology Clinic, Premier Clinical Research, and 3<sup>rd</sup> and Sherman Plaza L.L.C.

Shortly after receiving EIDL funds, Werschler made personal purchases of a 2011 Porsche 911 GT3 and a 1997 Porsche Carrera for a total of \$252,375.00. Werschler also used \$553,143 to purchase two properties across from his Spokane Dermatology Clinic. The purchase of personal automobiles and real

property are both contrary to the proper use of EIDL funds. The global resolution entered into by Werschler and his companies also resolved related criminal charges.

This case was investigated by the IRS Criminal Investigations, the FBI, and the Small Business Administration Office of Inspector General.

The settlement agreement can be viewed at the link below.

[settlement\\_agreement.pdf](#)

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**Topic**

**COVID-RELATED FRAUD**

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